Is COP still worth following? We think so. What matters for businesses is whether this year's COP31 can improve the business case for action. Here are four areas to watch




Coco Zhang and Gerben Hieminga

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below 2°C and pursuing efforts to limit warming to 1.5°C. Geopolitical tensions, policy shifts, trade protectionism, rising energy demand... they have all made it harder for governments to turn climate commitments into action.

That raises an important question for businesses: Is the Conference of the Parties (COP) still worth following?

Our answer is yes.

Businesses do not just invest in climate targets; they invest in viable projects and operations. But many of them still face economic and practical barriers. Grid constraints and high electricity costs can slow electrification. Greener industrial products can struggle to

attract buyers willing to pay a premium. And climate adaptation plans do not always translate into investable projects.

Businesses cannot solve these challenges alone. In a 2025 UN survey of more than 2,000 CEOs across 128 countries, 92% said strong global governance and coordinated policy are “critical” or “important” to implementing their sustainability agendas.

That is why COP is still relevant. It can help align policy priorities, improving investment conditions, and connecting businesses with the right resources. At COP31, four areas will be particularly important for businesses to watch.

Electrification marries economic growth

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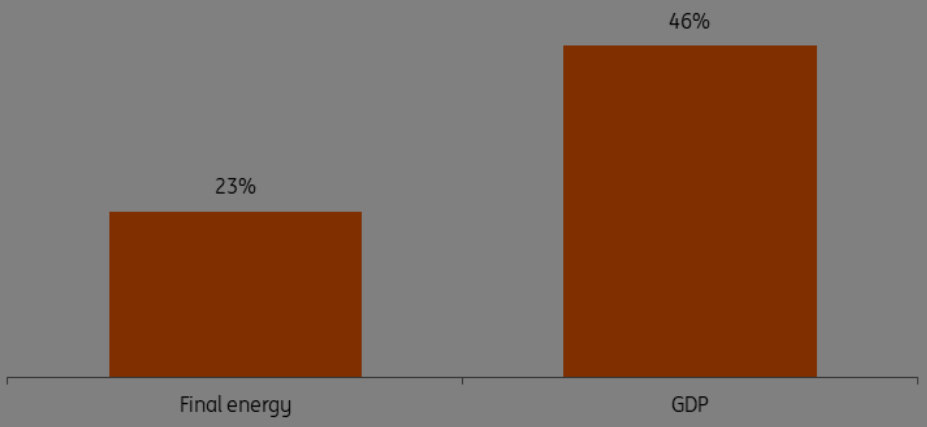
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Global share of electricity in final energy and GDP, 2025, in %



Source: ING Research, International Energy Agency

COP31's push to accelerate electrification reflects this trend. The C
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best practices, but could go further by translating knowledge into direct technical assistance and ready-to-deploy models
- Set country- or sector-level targets and pathways to encourage industry alignment and commitment
- Improve access to finance by expanding dedicated financing for developing countries, while lowering upfront costs in Europe
- Improve the economics. Coordinate energy pricing reforms to make electrification more competitive with fossil fuel combustion alternatives, including by reducing taxes and grid fees that raise electricity prices
- Strengthen infrastructure by encouraging governments to reduce permitting barriers (e.g. Europe and the US), advance

regulatory support for power demand flexibility, and expand cross-border grids where needed (e.g. Southeast Asia)

If COP31 delivers meaningful action in these areas, the implications for businesses could be significant. Stronger policy could accelerate near-term grid connections and enhance long-term investment confidence. Meanwhile, companies may need to work more closely with utilities and regulators to secure the power they need.

Green industrialisation remains critical

But electrification is only part of the story. Industry is another major source of process emissions, with sectors such as steel, cement, and aviation accounting for roughly 20% of the global t… y i… t l…

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B… s… economics depend heavily on government support. Demand for cleaner industrial products remains limited. And the necessary infrastructure for many is still underdeveloped.

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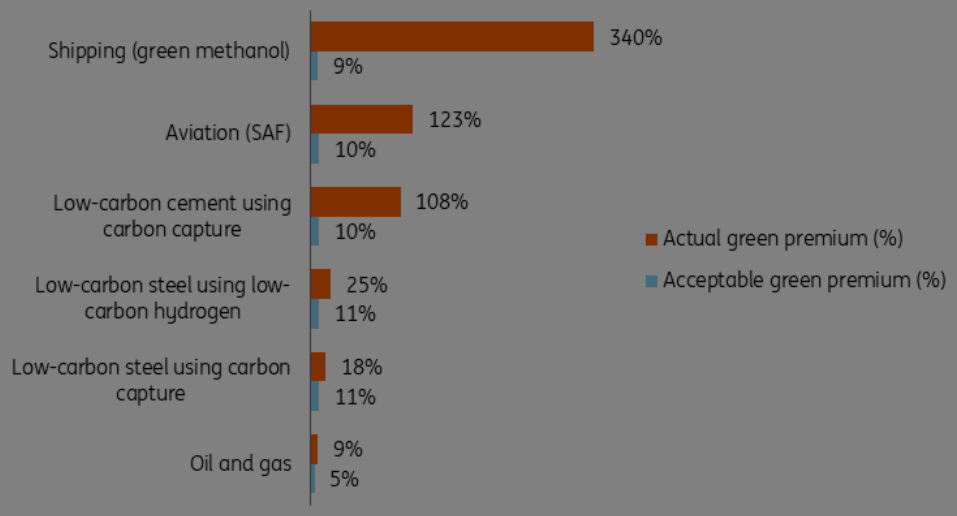
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Hard-to-abate sectors' green premium is way higher than what companies are willing to pay

Difference in cost, low-carbon versus conventional products, in %



Source: World Economic Forum, ING Research

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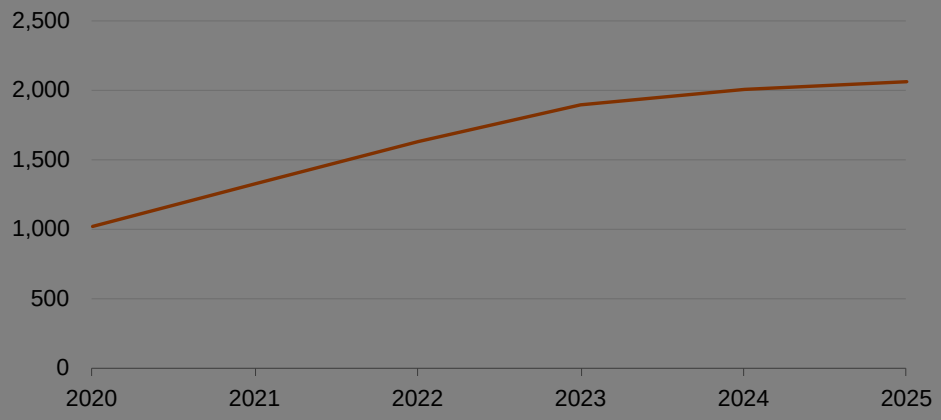
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slower rate.

Global climate finance continues to grow

Finance levels in $bn



Source: Climate Policy Initiative, ING Research

But the headline number masks significant gaps. First, even though climate mitigation (i.e. emissions reduction) finance accounted for $ n a o n

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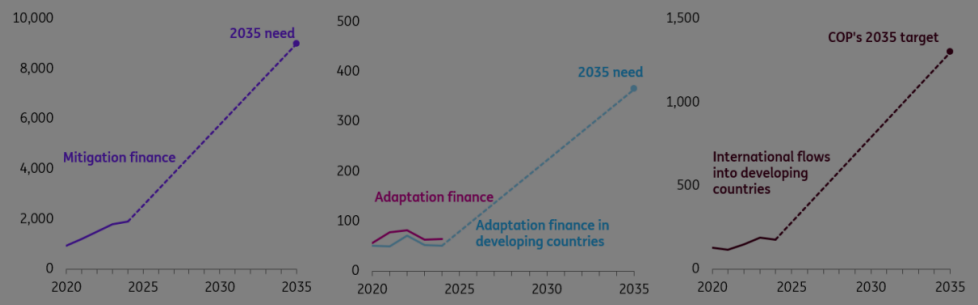
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Imbalances among growing global climate finance

Finance levels in $bn



Source: ING Research, Climate Policy Initiative, UN, UNEP, Natural Resources Defense Council

More climate products and solutions are emerging in the latter two segments. But their higher risks or weaker business cases can make it difficult to attract capital without supportive policies. Investors are a
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hurricanes in the US, and other extreme weather events are already affecting supply chains across sectors. In aggregate, physical climate risks could cost companies in the S&P Global 1200 index $1.2tn annually by 2050.

One barrier to corporate investment in climate adaptation is that it is still seen primarily as a way to avoid losses. But adaptation can also create business value. Investments in resilient assets, cooling systems, supplier diversification and climate-resilient materials can improve reliability, competitiveness and long-term growth. Research from the World Resources Institute suggests that every $1 invested in adaptation can generate up to $10 in benefits. That return could be even higher for highly climate-exposed sectors. For

example, the World Economic Forum estimates returns of $19–$43 per dollar invested in the food and beverage sector.

COP can help turn adaptation priorities into investable projects. Since the Paris Agreement, countries have developed National Adaptation Plans (NAPs), but many remain high-level and lack specific, actionable projects. Recent COP efforts have sought to change this by encouraging governments to translate their NAPs into portfolios of investable adaptation projects.

But identifying projects does not guarantee financing. This is where COP31 could make a difference. Its proposed Climate Implementation Bridge (BRIDGE) initiative could make projects easier for investors to identify and assess by centralising

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term growth, but they are more effective with international coordination and strong policy support. COP can bring governments and businesses together to provide such a framework, even amid geopolitical tensions and concerns over slowing progress. COP31 may not deliver a landmark global agreement, but practical advances in these four priorities could still have immediate relevance for businesses.

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